Defensives Bid

Dividend +0.98% as defensives lead the tape. NextEra and Dominion announce a $67B all-stock combination. Trump postpones Tuesday Iran attack at Gulf leaders' request. NVDA earnings Wednesday.

THE SESSION

The tape rotated. The S&P 500 closed effectively flat at 7,403.10 (−0.07%) while the Dow added 0.32% to 49,686.11 and the Nasdaq gave back 0.51% to 26,090.64. The VIX fell 3.96% to 17.70. The dispersion told the day's story: defensive dividend names led from the open, semiconductors and crypto-adjacent growth names sold off, and the index averages averaged out to roughly nothing.

Two catalysts shaped the session. NextEra Energy and Dominion Energy announced a definitive all-stock combination valued at approximately $67 billion — the largest power-utility acquisition in U.S. history. NextEra shareholders will own approximately 74.5% of the combined entity, which will serve roughly 10 million customers across Florida, Virginia, North Carolina and South Carolina; the deal is expected to close in mid-to-late 2027. The strategic logic is the data-center power demand running through Dominion's Virginia and Carolinas footprint, layered onto NextEra's Florida renewable and nuclear base. NEE shares fell −4.63% to $89.04 on the announcement — the typical acquirer reaction to a transaction of this scale and complexity, with regulatory and integration risk now sitting on the dividend sleeve's most strategic AI-utility holding.

The second resolution came mid-afternoon. President Trump announced he would postpone the Tuesday Iran attack that the morning brief had flagged as the explicit topic of his scheduled national-security meeting. Trump credited the leaders of Qatar, Saudi Arabia and the UAE for requesting the delay as "serious negotiations" advance. Brent crude pulled back from its overnight $111 highs but stayed bid above $107 on WTI; the energy block held its premium without giving back the entire geopolitical tail.

Underneath, the rotation theme that began Friday continued. The 10-year Treasury yield remained above 4.6%, futures markets continue to price meaningful odds of a Warsh-era hike rather than a cut, and the defensive dividend names — healthcare, staples, payroll, defense, energy — absorbed the flows that left semiconductors and crypto. Bitcoin held near $76,900 (−0.63%) and the IOWN digital ETFs traded lower with it (IBIT −2.91%, ETHA −4.50%). Wednesday's NVDA print and the first Warsh-era FOMC minutes are now the next two scheduled inflection points.

IOWN Tactical: The session resolved one Friday-into-Monday thread (NEE-Dominion) and deferred another (Iran). The structural ownership stance is unchanged. Carson's SPY $645.80 level remains untested, well below today's close. The dividend sleeve doing the work in a flat tape is the rotation thesis converting from forecast to fact. Think Like an Owner.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

SSNC +4.09% — DIVIDEND STRATEGY

Software and data services name closed at $67.22 — the dividend sleeve's top winner on the day as defensive cash-flow compounders led the rotation flow.

ABT +4.07% — DIVIDEND STRATEGY

Healthcare defensive closed at $87.91 amid sector-wide M&A momentum in medical devices (Boston Scientific dealmaking coverage on the tape). One of the day's clearest defensive bids.

ADP +3.94% — DIVIDEND STRATEGY

Payroll-processing name closed at $222.94 — classic late-cycle defensive cash-flow proxy bid as the rate-cut path narrows and the hike conversation widens.

VLO +3.09% — DIVIDEND STRATEGY

Refiner closed at $258.50 on continued crack-spread strength from Brent above $110 and WTI above $107. Earnings estimates rising per Zacks-aggregated revisions.

CVX +2.63% — GROWTH PORTFOLIO

Integrated major closed at $196.12 as the energy bid carried through despite Trump's Iran-attack postponement — the structural physical-supply premium is intact.

CHD +2.85% — DIVIDEND STRATEGY

Consumer staples name closed at $96.73 — another defensive cash-flow name catching the rotation flow on a day of growth-side weakness.

GD +2.47% — DIVIDEND STRATEGY

Defense prime closed at $342.75 as the regional security picture remains active despite the Tuesday-attack postponement. LMT also added 2.38%.

DECLINERS

CRDO –9.24% GROWTH PORTFOLIO

AI connectivity name closed at $156.27 — the day's steepest decline in the growth sleeve as the broader semi de-rate continued and the stock traded near its session low. Earnings June 1.

HUT –6.12% GROWTH PORTFOLIO

Bitcoin miner closed at $96.20 with BTC holding below $77,000 and crypto-adjacent equities under sustained pressure. MARA also fell 2.13%.

NEE –4.63% DIVIDEND STRATEGY

Closed at $89.04 on the official $67B Dominion announcement — standard acquirer reaction to a transformational all-stock combination. Long-dated thesis intact; near-term overhang from integration and regulatory path.

ETHA –4.50% DIGITAL ASSET ETF

Ether ETF closed at $16.00 as the digital-asset complex extended its weekend slide. Spot Bitcoin ETFs recorded heavy net outflows last week per industry coverage.

MRVL –4.38% GROWTH PORTFOLIO

Networking-silicon name closed at $169.15 alongside the broader AI-connectivity de-rate; sector-level concern over hyperscaler capex monetization timing into NVDA Wednesday.

FCX –3.92% GROWTH PORTFOLIO

Copper-mining name closed at $60.54 on materials-sector weakness as the dollar firmed and industrial-cyclical sentiment softened.

IBIT –2.91% DIGITAL ASSET ETF

Bitcoin ETF closed at $43.52 with BTC near $76,900. The digital-asset ETF complex remains the cleanest expression of risk-off in this tape.

HOLDINGS NEWS

NEE — Dominion combination announced. NextEra Energy and Dominion Energy announced a definitive all-stock combination valued at approximately $67 billion, creating what the companies describe as the world's largest regulated electric utility. The combined entity will operate under the NextEra Energy name with approximately 10 million customers across Florida, Virginia, North Carolina and South Carolina. NextEra shareholders will own approximately 74.5% of the combined company; the deal includes $2.25 billion in customer bill credits to Dominion ratepayers over two years. Expected close: mid-to-late 2027, subject to shareholder and regulatory approval. NEE: −4.63% to $89.04. Per Bloomberg, CBS News, Washington Post, Yahoo Finance, and joint Dominion-NextEra press release.

NVDA — Wednesday earnings setup. Fiscal Q1'27 prints after the close Wednesday May 20. Consensus near $79 billion revenue and approximately $1.78 adjusted EPS per aggregated estimates (Kiplinger, Yahoo Finance, TECHi). The Q2 guide consensus near $86 billion is where the print historically converts to a tradable read — NVDA has fallen on four of its last five earnings reports despite revenue beats of 3–4%. Implied move approximately 5–6% per at-the-money straddle pricing. NVDA closed today at $221.99 (−1.48%).

LRCX — Morgan Stanley raises WFE outlook. Morgan Stanley raised its wafer-fab equipment outlook and shifted semicap ratings per Yahoo coverage; LRCX still closed −2.37% to $277.96 as the broader semi tape weighed on the group despite the constructive Street call.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.98%

vs. DVY +1.02% | SPY –0.08%

GROWTH PORTFOLIO ✗ TRAIL

–1.27%

vs. IUSG –0.67%

YEAR-TO-DATE

Dividend +12.81% vs DVY +8.05% / SPY +8.31%

Growth +7.90% vs IUSG +9.59%